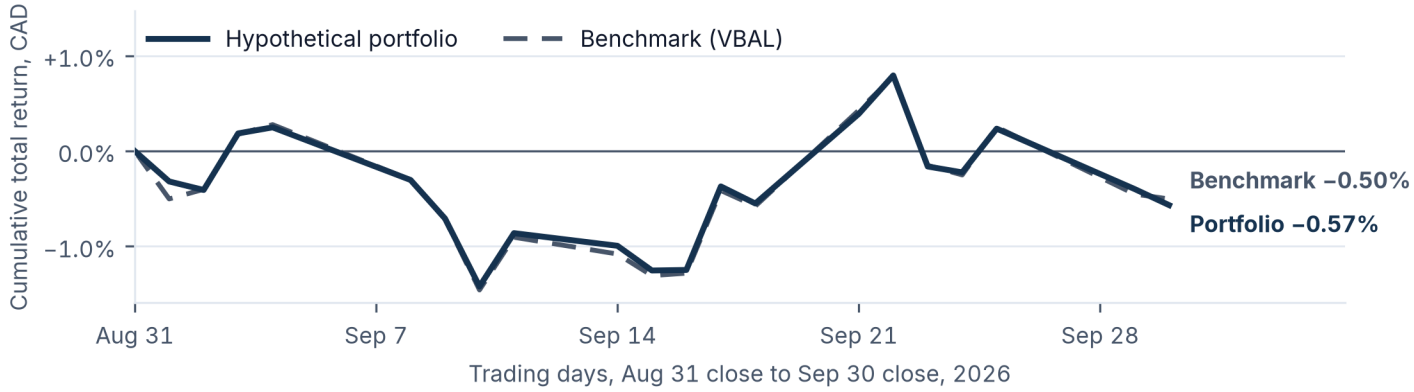
September 2026 Market & Portfolio Report

As of the September 30, 2026 close | CAD | Hypothetical portfolio (60/40) vs VBAL benchmark

−0.57%	−0.50%	−0.06 pp	−0.03 pp	−0.54 pp
Hypothetical portfolio	Benchmark (VBAL)	Difference	Equity contribution	Bond contribution



Cumulative total return since the Aug 31 close, daily. Source: [1]. Facts are cited; interpretation is labelled.

Rising rates hit bonds and credit, and the balanced mix lost 0.57% in September

Facts. The hypothetical portfolio returned −0.57% against −0.50% for the benchmark, a difference of −0.06 pp. The bond sleeve returned −1.36% and subtracted 0.54 pp, about 95% of the decline. The equity sleeve returned −0.05%: US and emerging-market gains offset losses in Canada. [1]

Interpretation. Canadian stocks and bonds both fell, so the domestic cushion was missing. Holdings outside Canada, and a weaker Canadian dollar, kept the loss small.

Market overview

Segment (ETF proxy)	Total	Price
Canadian equity (XIC)	−2.65%	−3.14%
US equity (XUU)	+1.93%	+1.72%
Intl developed equity (XEF)	−0.81%	−0.81%
Emerging markets equity (XEC)	+2.07%	+2.07%
Canadian aggregate bonds (XBB)	−1.26%	−1.56%
Canadian short-term bonds (XSB)	−0.76%	−1.01%
US high-yield bonds (XHY)	−3.07%	−3.58%
Benchmark (VBAL)	−0.50%	−0.50%

Rates, currency	Aug 31	Sep 30	Change	As of
USD/CAD	1.3866	1.4188	+2.32%	Sep 29
Canada 2-yr (%)	3.01	3.37	+36 bp	Sep 29
Canada 10-yr (%)	3.73	3.99	+26 bp	Sep 29
BoC overnight (%)	2.25	2.25	0 bp	Sep 30

Total and price returns of ETF proxies, CAD. Yields and USD/CAD: Bank of Canada, latest value Sep 29 (Sep 30 was a federal holiday). [1][2]

Theme: rates repriced higher and bonds paid for it

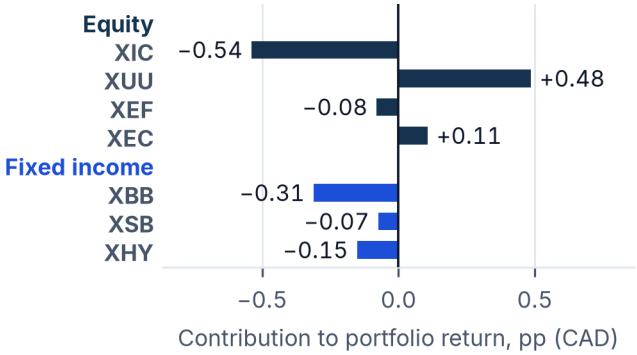
- The Federal Reserve raised its target range by 1/4 point to 3-3/4 to 4 percent on September 16, in a 12 to 0 vote. [4]
- On September 2 the Bank of Canada held at 2.25%, saying financial conditions had tightened since July and long-term yields had moved up globally, including in Canada. [3]
- Canada's 2-year yield rose +36 bp to 3.37% and the 10-year +26 bp to 3.99% (latest Sep 29). In CAD, XBB returned −1.26%, XSB −0.76% and XHY −3.07%. [2][1]

Interpretation. Rising yields lower the price of existing bonds. The broad index fell more than the short-term fund and the lowest-quality bonds fell most, which fits that mechanism. XIC fell too (−2.65%), so the Canadian stock-bond pair gave no offset, while XUU returned +1.93% as USD/CAD rose +2.32%. The sources describe these moves but do not isolate causes.

Portfolio and benchmark detail

Holding	Start weight	Price return	Total return	Contribution	End weight	Drift
XIC Canadian equity	20.3%	−3.14%	−2.65%	−0.54 pp	19.9%	−0.08 pp
XUU US equity	25.1%	+1.72%	+1.93%	+0.48 pp	25.7%	+0.69 pp
XEF Intl developed equity	10.0%	−0.81%	−0.81%	−0.08 pp	9.9%	−0.06 pp
XEC Emerging markets equity	5.1%	+2.07%	+2.07%	+0.11 pp	5.3%	+0.28 pp
XBB Canadian aggregate bonds	24.6%	−1.56%	−1.26%	−0.31 pp	24.5%	−0.55 pp
XSB Canadian short-term bonds	9.9%	−1.01%	−0.76%	−0.07 pp	9.9%	−0.13 pp
XHY US high-yield bonds	5.0%	−3.58%	−3.07%	−0.15 pp	4.8%	−0.16 pp
Equity sleeve	**60.5%**	—	**−0.05%**	**−0.03 pp**	**60.8%**	**+0.83 pp**
Fixed-income sleeve	**39.5%**	—	**−1.36%**	**−0.54 pp**	**39.2%**	**−0.83 pp**
Hypothetical portfolio	**100.0%**	—	**−0.57%**	**−0.57 pp**	**100.0%**	—
Benchmark (VBAL)	—	−0.50%	−0.50%	—	—	—

Start weights: prior month-end drifted weights, as the prior decision was Maintain. Price return excludes distributions. [1]



Equity implications

US (+1.93%) and emerging markets (+2.07%) rose; Canada (−2.65%) and developed international (−0.81%) fell. The sleeve ended at 60.8% of the portfolio, +0.83 pp above target.

Fixed-income implications

The sleeve returned −1.36% and subtracted 0.54 pp. Shorter maturities held up better, consistent with lower rate sensitivity. [1]

Maintain or rebalance (illustrative)

Maintain. The largest holding drift is 0.69 pp (band 1.5 pp); the largest sleeve drift is 0.83 pp (band 2.0 pp). No trade triggers, so drifted weights carry into October. A reset would trade 0.97% of the portfolio.

Counterargument. For acting: the Federal Reserve is tightening; moving part of XBB into XSB would lower rate sensitivity. For patience: drift is inside the bands, and selling bonds after a decline locks in the loss without evidence of where yields go next.

Downside risks

- Rates: the Bank of Canada sees higher upside risk to inflation. [3]
- Trade: new US tariffs and Canadian counter-measures. [3]
- Credit: XHY fell −3.07%; a currency reversal would trim foreign equity.

What to monitor

- **Bank of Canada and MPR, Oct 28.** [3]
- **FOMC, Oct 27-28.** [4][5]
- **Canada yields and USD/CAD.** [2]

Method and sources

Total return: closing prices, distributions reinvested at the ex-date close, net of fund expenses. Beginning weights are August's drifted weights (decision: Maintain). Contribution is weight times return, not formal attribution. Foreign-market ETFs are CAD-listed, so no currency conversion is applied. Sources retrieved 2026-10-14; [3] and [4] were published before the cutoff.

[1] Yahoo Finance, ETF closes and distributions, Aug 31 to Sep 30. finance.yahoo.com/quote/XIC.TO/history/

[2] Bank of Canada Valet, FX, yields, overnight target, to Sep 30, latest Sep 29. bankofcanada.ca/valet/observations/

[3] Bank of Canada, rate announcement, Sep 2, 2026. bankofcanada.ca/2026/09/fad-press-release-2026-09-02/

[4] Federal Reserve Board, FOMC statement, Sep 16, 2026. federalreserve.gov/newsevents/pressreleases/monetary20260916a.htm

[5] Federal Reserve, FOMC meeting calendar, schedule. federalreserve.gov/monetarypolicy/fomccalendars.htm

[6] BlackRock and Vanguard Canada, fund pages (index objectives only). blackrock.com/ca/investors/en/products/ vanguard.ca/en/product/etf/asset-allocation/9578/